## A. Foreign Direct Investment (FDI)

Investment through the mode other than the stock exchange is called foreign direct investment in India. There is no prescribed size to treat an investment as foreign direct investment in India. FDI includes the following:

- Shares acquired by way of IPO
- Shares acquired by way of preferential allotment
- Shares acquired by way of offer for sale through private arrangement
- Transfer of shares by way of offer for sale through private arrangement

In all these purchases there is direct contact between the securities buyer and the seller company.

Aravind Mayaram Committee on FDI and FII has suggested that the investment in a company above 10 per cent needs to be treated as FDI.

## B. Portfolio (or) Rentier Investment

Investment through stock exchange that is through secondary market is called portfolio investment. Portfolio investment refers to investment in various financial instruments like shares, debentures of a company through secondary market. There are three major types of portfolio investment. They are:

- Foreign Institutional Investment (FII)
- Depository Receipts
- Offshore Funds

## Foreign Institutional Investment

It is the portfolio investment by foreign institutions like mutual funds,